

\$4 billion each,” says Gaikar.

Aluminium and zinc generate cash through cycles, making internal funding possible. “However, oil and gas must arrest field decline (depletion) before it can self-fund a ramp-up, while power and steel offer thin margins relative to their ambitions,” he explains. The remaining \$12 billion capex would include \$2.5 billion in power, \$2 billion in zinc and silver, and \$7.5 billion in iron ore, steel and other businesses.

According to Arora, the \$20-billion translates into \$4-7 billion per year. As things stand, internal cash generation, according to Arora, covers the capex target for the current fiscal. “For FY28-30, one would assume the capex will be driven by commodity prices and internal accruals. Apart from the alumina expansion in India, along with backward integration into bauxite and coal and zinc expansion in Gamsberg (the last one is in South Africa), most of the other projects are on the drawing board,” he says.

However, much will depend on how the commodity cycle plays out. “A 10% rise in aluminium prices adds \$641 million to EBITDA—nearly double the \$278 million from zinc and well above the \$38 million from oil. Vedanta is overwhelmingly an aluminium and zinc player,” says Arora. The biggest tailwind will come from the current commodity cycle, where the outlook remains largely positive. “For Vedanta, it looks good, and there is a clear upside on white metals and ferrous,” says Deven R Choksey, Chairman and MD of wealth management and investment advisory firm DRChoksey Finserv.

Oil and gas is already a significant business. Through Cairn Oil & Gas, it accounts for about 25% of India’s crude oil production. While state-run players such as ONGC and Oil India are larger, those tracking the sector say Vedanta’s advantage lies in quicker decision-making and greater operational agility. The company is also looking to expand the business over the next few years.

The renewable energy story, says Choksey, can bring the company a huge upside.

A NEW FORAY



BIG DREAMS Listing of Vedanta's demerged entities

➔ **Ten days after listing four demerged businesses, Vedanta Ltd intimated the stock exchanges of the incorporation of a subsidiary, Vedanta Property Platforms. “It will serve as a strategic platform for undertaking real estate business and ancillary activities,” it said.**

In May, the Adani Group won the bid for Jaiprakash Associates (JAL) for ₹14,500 crore, after a tight battle with Vedanta. This despite the latter offering ₹17,500 crore.

On the table were limestone reserves, large land parcels in the Delhi-NCR region, power capacity and the Buddh International Circuit. For the Adani Group, it synced

well with all its existing businesses.

In the case of Vedanta, there was a chance to enhance its power business and perhaps look at cement, given its existing commodity play. But the group's greater interest, however, appears to have been real estate—a direction now confirmed by the incorporation of Vedanta Property Platforms. The business could unfold around monetising existing surplus land or look for newer opportunities altogether.

Given the infrastructure needed around land—smart cities for instance—Vedanta will have its hands full in a very competitive business.